
Ticker: SKE CN	Cash 1Q22: C\$57m	Project: Eskay Creek
Market cap: C\$643m	Price: C\$9.36/sh	Country: Canada, BC

RECOMMEND. (unc): BUY TARGET (-1.50): C\$18.00/sh RISK RATING: HIGH

Today's news that the BC provincial government has handed the permitting reins to the local Tahltan Central Government is worthwhile. We think the First Nations effectively have the right of veto by proxy, meaning if the mine isn't wanted, it likely doesn't go ahead. Thus, Skeena's agreement cuts out the middle players and codifies this proxy right, giving the First Nations line-of-sight and responsibility in a way. Combined with the prior transfer of 'Sacred Mountain', and equity investments, we think SKE is ahead of the pack with First Nations engagement. Updating our model, we adjust for last quarters cash burn, stronger CAD, and model roll forward, **we maintain our 0.8xNAV multiple and BUY rating, but lower our PT from C\$19.50 to C\$18.00/sh**. Looking forward we are expecting both the DFS, as well as a permitting charter, in the coming 3M to be key price drivers. The DFS in particular offers a potential improvement to our NPV if staged expansion can maintain high production beyond current Y6, and offset any capex creep. While permitting progresses, the drill bit value-add should also continue with the company only 5km into their 60km summer program. Given the ~4.5g/t AuEq ROM grade, the key exploration target we like is the contact mudstone at depth where mine workings only drilled 200m past the UG such that 2.5opt material 'in the neighborhood' could feed an updated DFS next year, enabling price momentum during permitting like peer Marathon.

Tahltan Gov't agreement sets path for advancing Eskay Creek permitting and ESG strategy

Skeena reported that a consent-based decision-making agreement under the Declaration Act has been made between BC and the Tahltan Central Gov't, making Eskay Creek the first mining project that will have an Indigenous Gov't authorizing permits. This agreement is both in line with principles of the UNDRIP environmental assessment process and Skeena's ESG strategy.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- 1H22: Permitting update
- 1Q22: BFS including expanded resource
- 1H/2H22: AWF infill / expansion drilling

Research

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Ticker: SKE CN	Price / mkt cap: C\$9.36/sh, C\$643m	Project PNAV today: 0.38x	Asset: Eskay Creek / Snip
Author: B Salier/ B Gaspar	Rec / 0.8xNAV PT: BUY, C\$18/sh	1xNAV_{1Q22} FF FD: C\$24.87/sh	Country: Canada: BC

Commodity price	CY18A	CY19A	CY20A	CY21A	CY22E	Resource / Reserve	AuEq (koz)	AuEq (g/t)
Gold price	1,850	1,850	1,850	1,850	1,850	Pittable resource	5425koz	4.17g/t
SOTP project valuation*						Underground resource	224koz	5.41g/t
		C\$m	O/ship	NAVx	C\$/sh	Snip	646koz	13.60g/t
Ungeared proj. @ build start (2Q22)		1,762	100%	1.00x	23.71	Funding: uses		
Net cash 1Q22		57	100%	1.00x	0.76	Funding: sources		
Cash from options		53	100%	1.00x	0.71	PFS capex	C\$448m	1Q22 cash + options* C\$109m
Eskay Ck resources ex reserve @US\$50/oz		88	100%	1.00x	1.18	SCPe G&A to 1st Au + ABX \$	C\$20m	Mine debt @ 65% gearing C\$291m
Snip (US\$75/oz)		62	100%	1.00x	0.84	SCPe pre-production expl'n	C\$5m	Mine build equity at 0.6xNAV C\$235m
Asset NAV5% C\$1850/oz		2,021			27.2	SCPe finance costs + wkg cap	C\$57m	Total proceeds C\$636m
*Shares diluted for options but not mine build						Total uses	C\$530m	Buffer C\$106m
Market P/NAV5% _{1Q22}						*Cash from options expiring pre first pour		

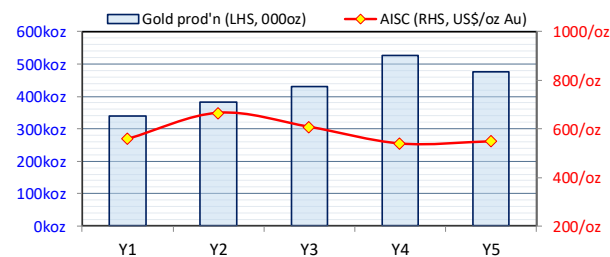
Asset value: 1xNPV project @ build start (C\$m, ungeared)*						Share data				
Project NPV (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Basic shares (m)	68.7	FD with build equity raise	88.7	
10.0% discount	1,498	1,610	1,722	1,833	1,944	FD with options (m)	74.3			
7.5% discount	1,674	1,798	1,921	2,045	2,168	Ratio analysis				
5.0% discount	1,878	2,017	2,154	2,292	2,430	CY21A	CY22E	CY23E	CY24E	CY25E
Ungeared project IRR:	63%	66%	69%	73%	76%	Average shares out (m)	91.7	68.3	68.7	68.7
Project NPV (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	EPS (C\$/sh)	-	-	-	4.88
3.7g/t AuEq	1,579	1,706	1,830	1,922	2,046	CFPS (C\$/sh)	-	-	-	4.73
4.1g/t AuEq	1,878	2,017	2,154	2,292	2,430	EV (C\$m)	818.9	775.3	1,058.4	643.0
4.5g/t AuEq	2,208	2,360	2,511	2,662	2,813	FCF yield (%)	-	-	-	51%
NPV5 (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	PER (x)	-	-	-	1.9x
Payability: 67%	1,579	1,706	1,830	1,922	2,046	P/CF (x)	-	-	-	2.0x
Payability: 75%	1,878	2,017	2,154	2,292	2,430	EV/EBITDA (x)	-	-	-	1.3x
Payability: 82%	2,208	2,360	2,511	2,662	2,813	Income statement				
*Project level NPV, exd finance costs and central SGA, discounted to build start						Net revenue (C\$m)	-	-	-	676.1

Group valuation over time*						Gross profit (C\$m)				
Jun-22	Jun-23	Jun-24	Jun-25	Jun-26		D&A, attrib (C\$m)	0.3	0.1	-	49.0
Eskay Creek (C\$m)	1,834	2,188	2,419	2,156	1,879	Admin (C\$m)	22.9	14.6	14.6	14.6
Net cash prior qtr (C\$m)	57	(204)	(352)	(16)	327	Expensed exploration (C\$m)	107.5	25.0	-	-
G&A and finance costs (C\$m)	(157)	(146)	(127)	(99)	(76)	Finance cost (C\$m)	(0.2)	(0.1)	(4.5)	23.1
Cash from options (C\$m)	53	53	53	53	53	Royalty (C\$m)	-	-	-	12.4
Snip	62	1	1	1	-	Forex, other (C\$m)	(12.8)	(4.7)	-	-
NAV FF FD (C\$m)	1,848	1,892	1,994	2,095	2,182	Taxes (C\$m)	-	-	-	76.6
1xNAV _{5x} /sh FF FD (C\$/sh)	24.87*	25.45*	22.47*	23.61*	24.60*	Net income (C\$m)				
Equity ROI from spot (% pa)		172%	79%	59%	47%	Cash flow, attrib.	CY21A	CY22E	CY23E	CY24E

Gearing company NAV diluted for mine build, net G&A and finance costs						Cash flow ops (C\$m)				
2Q22 1xNAV FF FD (C\$/sh)^	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	EBIT (C\$m)	(117.8)	(35.0)	(14.6)	434.6
10.0% discount	17.17	18.84	20.52	22.20	23.90	Add back D&A (C\$m)	0.3	0.1	-	49.0
7.5% discount	18.79	20.58	22.38	24.18	25.99	Less tax + net interest (C\$m)	(0.2)	(0.1)	(4.5)	99.6
5.0% discount	20.61	22.54	24.47	26.41	28.35	Net change in wkg cap (C\$m)	(10.3)	5.6	-	(51.2)
Gearing project IRR:	58%	61%	64%	68%	71%	Add back other non-cash (C\$m)	1.4	0.8	4.7	4.7
2Q22 1xNAV FF FD (C\$/sh)^	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Cash flow inv. (C\$m)				
Payability: 67%	16.39	18.13	19.85	21.12	22.85	PP&E - build + sust. (C\$m)	(13.1)	(179.8)	(258.7)	(12.6)
Payability: 75%	20.61	22.54	24.47	26.41	28.35	PP&E - expl'n (C\$m)	(0.5)	-	(15.2)	-
Payability: 82%	25.31	27.45	29.59	31.74	33.89	Cash flow inv. (C\$m)				

Production						Balance sheet				
Y1	Y2	Y3	Y4	Y5		Cash (C\$m)	40.3	(37.9)	(123.0)	201.9
Gold production (000oz)	341	382	431	527	477	Acc rec., inv, prepaid (C\$m)	13.9	8.6	8.6	56.3
C1 cost (US\$/oz)	511	618	566	505	511	PP&E + other (C\$m)	100.8	282.1	555.9	519.5
AISC cost (US\$/oz)	559	666	608	540	549	Total assets (C\$m)				

AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024



Source: SCP estimates

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BUY:	55
HOLD:	1
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	56

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